AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Align Technology

NASDAQ : ALGN · Mature-Company DCF

$10.79B mkt cap · 71M sh · $1.1B cash, zero debt · $1.10B cash, no debt; ~71.3M shares; ~$200M buyback active; Revenue $4.035B FY25 (+1%, flat-lining); GAAP op margin compressed to 13.5% (non-GAAP ~21%); FCF ~$0.5B; ~70% gross margin; ~$147, down ~6% YTD - deeply de-rated from the 2021 ~$700 peak (fwd P/E ~13)

22 October 2026 · the qualitative

$151.37

THE CENTRAL QUESTION

Does clear-aligner category growth and Invisalign share retention outrun ASP/share erosion from Angelalign and at-home commoditization?

Align trades at ~$10.5B (~$146.88, deeply de-rated from the 2021 ~$700 peak to ~$147) - ~21x FCF on $4.04B revenue growing low-single-digit, ~70% gross margin, net cash and a buyback. It is the category-defining clear-aligner brand (Invisalign + iTero) in a market still only ~15-20% penetrated, but growth has flat-lined (+1%) as discretionary demand softens and Angelalign/at-home rivals pressure ASPs (-1 to -2% guided). The DCF asks whether category penetration plus the teen/Palatal-Expander TAM outrun price/share erosion. The finding lands cheap (+17.3%): the modal case is +20%, de-rated below fair.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +16.8% · 41% at or below spot

$172.27

expected fair value today

+13.8% vs spot $151.37

FORWARD COMPOUNDED VALUE

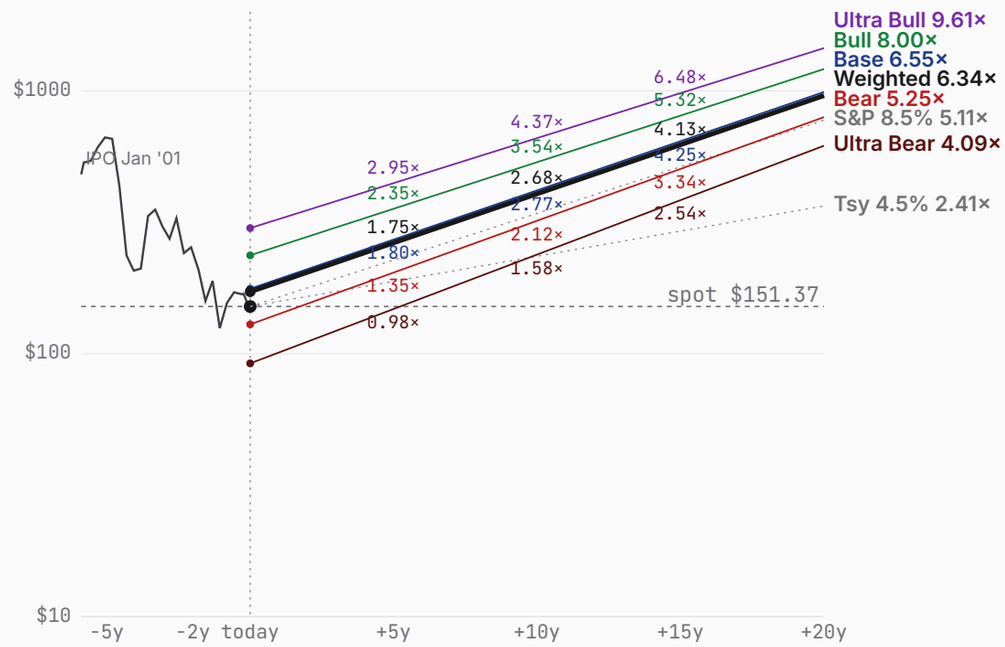
+5y	+10y	+15y	+20y
$264.49	$406.29	$624.48	$960.41
1.75× spot	2.68× spot	4.13× spot	6.34× spot

WEIGHTING RATIONALE

Ultra Bear 14% Demand stalls; ASP/share erode; ~$92 (-37%).
Bear 27% Low-single-digit grind; ASP pressure caps it; ~$129 (-12%).
Base 34% Penetration resumes; margin firms; ~$177 (+20%).
Bull 17% Teen/IPE TAM expands; share holds; ~$237 (+61%).
Ultra Bull 8% Category compounds; Align re-rates; ~$301 (+105%).

Bull (17%) + Ultra Bull (8%) together contribute $64.33 — 37% of the $172.27 expected value despite 25% combined probability. Today's spot ($151.37) sits 12% below the weighted expected.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $91.97

-39.2% vs spot

CAGR +1.4% WACC 10.0%
CAGR +1.4% Prob 14%

Demand stalls; ASP/share erode.

BEAR — $129.43

-14.5% vs spot

CAGR +3.8% WACC 9.5%
CAGR +3.8% Prob 27%

Low-single-digit grind; ASP pressure caps it.

BASE — $176.81

+16.8% vs spot

CAGR +6.6% WACC 9.0%
CAGR +6.6% Prob 34%

Penetration resumes; margin firms.

BULL — $236.91

+56.5% vs spot

CAGR +8.4% WACC 8.5%
CAGR +8.4% Prob 17%

Teen/IPE TAM expands; share holds.

ULTRA BULL — $300.75

+98.7% vs spot

CAGR +10.0% WACC 8.2%
CAGR +10.0% Prob 8%

Category compounds; Invisalign re-rates.

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Align Technology scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 14% Bear 27% Base 34% Bull 17% Ultra Bull 8% · Weighted expected $172.27 (+13.8% vs spot)

ULTRA BEAR $91.97

-39.2% vs spot

Probability 14%

Demand stalls; ASP/share erode.

WHY 14%

The genuine bear: revenue is already flat (+1% FY25), op margin has slid four straight years (24.7%→13.5%), ASPs are guided down, and Angelalign is suing on patents while taking China share. 14% weight on price/share erosion beating category growth.

WHAT HAPPENS

The discretionary big-ticket consumer stays soft and Angelalign/at-home commoditization wins on price: case volume flat-lines, ASPs keep falling beyond the guided -1 to -2%, and a richer low-cost mix de-levers a ~70% gross margin into low-double-digit operating margins. Revenue is essentially flat; the category-penetration story stalls while share leaks.

A category leader whose volume and price are both pressured earns a low-growth ~13x terminal multiple — DCF ~$92 (-37%). Net cash sets a floor but can't offset a stalled top line and a margin that keeps grinding lower.

BEAR $129.43

-14.5% vs spot

Probability 27%

Low-single-digit grind; ASP pressure caps it.

WHY 27%

Share retention continues but the discretionary backdrop + ASP pressure + Chinese competition cap the multiple. 27% as the plausible 'holds the lead but doesn't convert to growth' path, consistent with the flat top line and guided ASP declines.

WHAT HAPPENS

Category penetration keeps volume rising but ASP/mix erosion and a competitive market hold growth to ~4% and margins below the historical peak. Invisalign defends its lead without re-accelerating; teen/IPE helps at the edges but doesn't change the trajectory. Revenue compounds ~4% at a low-teens FCF margin.

DCF ~$129 (-12%) - a defended-but-decelerating franchise at ~15x FCF is worth below today's price; the market's discount is warranted if growth stays mid-single-digit and ASPs keep slipping.

BASE $176.81

+16.8% vs spot

Probability 34%

Penetration resumes; margin firms.

WHY 34%

Requires penetration-led case growth + the teen/IPE TAM to offset ASP erosion - consistent with the record Q1 case volume (686,000/+6.7%) and reaffirmed guidance, but not a step-change re-acceleration. 34% as the central outcome.

WHAT HAPPENS

The modal path: clear-aligner penetration of the ~15-20%-penetrated ortho market resumes mid-single-digit case growth, the teen/Palatal-Expander TAM adds incremental volume, and iTero Lumina anchors the installed base - blending to ~7% revenue growth at a firming ~16-18% operating margin as ASP pressure is offset by volume. Revenue compounds ~7% toward ~$5.5B.

DCF ~$177 (+20%) - well above spot. A category-defining brand with a long penetration runway is genuinely valuable, and even at ~16x FCF and mid-single-digit growth the modal case recovers ~20% above today's price; the de-rate corrected the 2021 excess and then overshot fair.

BULL $236.91

+56.5% vs spot

Probability 17%

Teen/IPE TAM expands; share holds.

WHY 17%

The IPE clearance + record teen case volume + a still-underpenetrated category make a genuine re-acceleration credible. ~17% weight on the TAM expansion landing while share holds.

WHAT HAPPENS

Clear-aligner category penetration accelerates and the teen/Palatal-Expander launch opens the larger teen ortho TAM (the majority of global case-starts), while Invisalign holds share through patents + the iTero installed base. Volume growth and operating leverage push margins back toward 20%. Revenue compounds ~8-9%.

DCF ~$237 (+61%) - if the penetration + teen-TAM engine re-accelerates and ASPs stabilize, the de-rated entry re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $300.75

+98.7% vs spot

Probability 8%

Category compounds; Invisalign re-rates.

WHY 8%

Everything works - penetration AND the teen/IPE TAM AND share defense AND a margin/multiple re-rate, the high-quality-compounder outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: clear aligners take a decisive share of the global ortho market, teen/IPE becomes a durable growth leg, iTero scan-data + AI deepen the cornered resource, and Align re-rates to a high-quality medtech compounder at ~70% gross margin. Revenue compounds ~10% to peak margins.

DCF ~$301 (+105%) - the brand reclaims a premium medtech multiple as category growth + share defense + margin recovery all land; ~8% probability, the asymmetric upside the depressed entry buys.

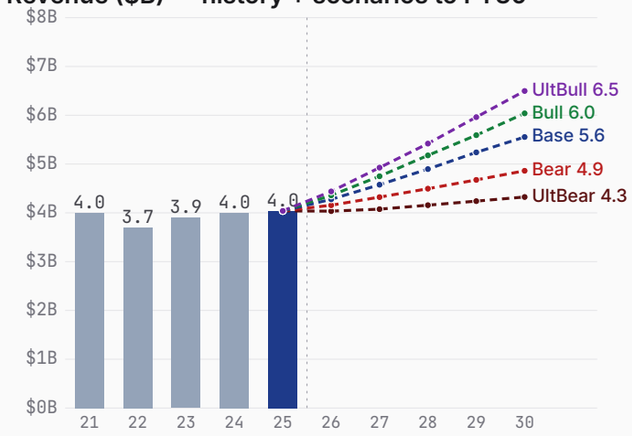
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Align Technology business snapshot

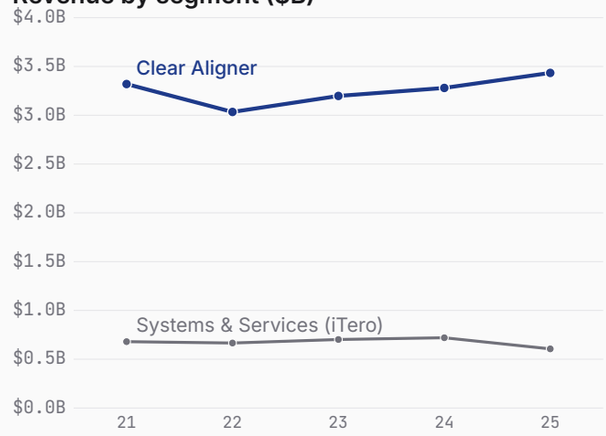
Bear $129.43 Base $176.81 Bull $236.91

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 (Apr 2026) results

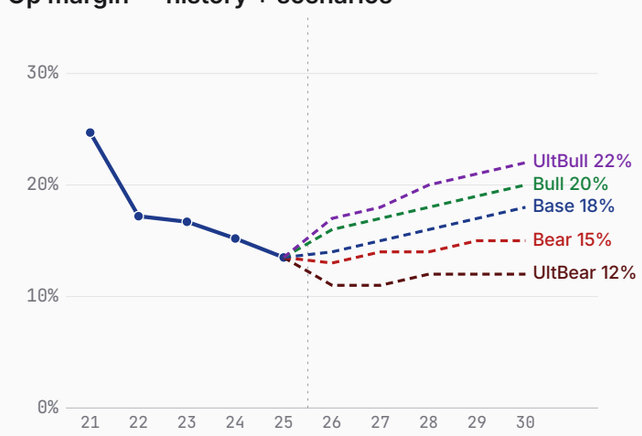
Revenue ($B) — history + scenarios to FY30



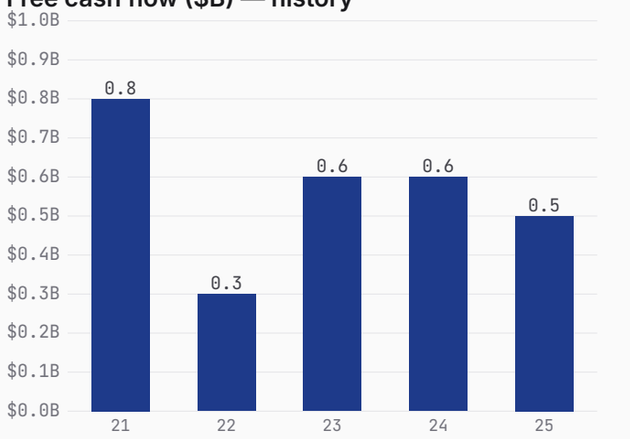
Revenue by segment ($B)



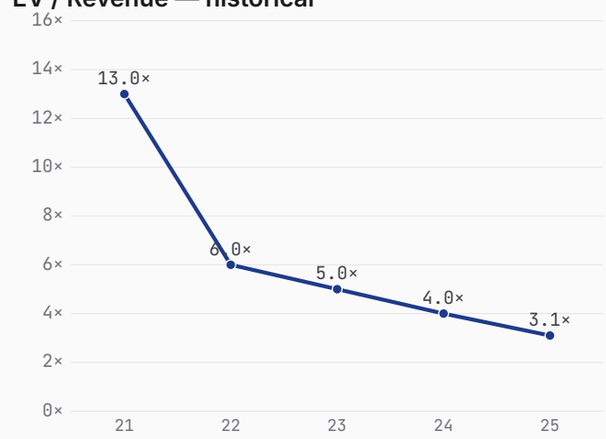
Op margin — history + scenarios



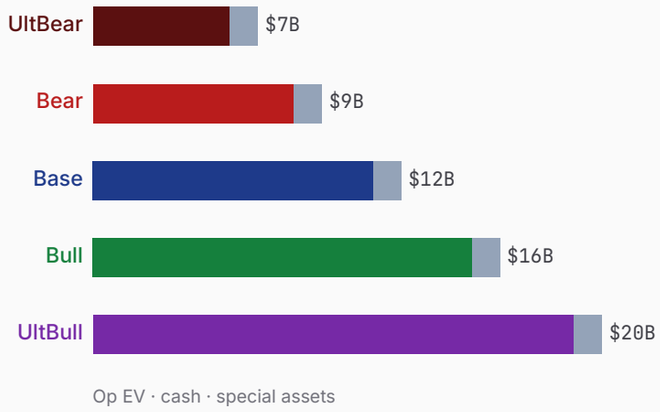
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1097149), Align Q1 FY2026 release (revenue $1,040M/+6.2%, Clear Aligner $856M, iTero/Systems $184M, record 686,000 Invisalign cases/+6.7%, gross margin 70.8%, FY26 ASPs guided -1 to -2%). Revenue is a growth path off FY25; FCF = revenue x FCF margin; Gordon terminal. Multiples vs Dentsply, Straumann, Angelalign.

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Align Technology 7 Powers · the moat, scored

Bear $129.43 Base $176.81 Bull $236.91

Arena. Clear-aligner orthodontics / dental devices - Align Technology (Invisalign, the category-defining brand, + iTero scanners) vs Angelalign, SmileDirect-style at-home/DIY, Dentsply Sirona, Straumann/ClearCorrect, and traditional wires/brackets; auditing a brand + cornered-resource Power against commoditization and a discretionary-demand market.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Largest clear-aligner manufacturer; manufacturing/R&D/sales leverage at $4B revenue and ~70% gross margin - real, but Angelalign is scaling fast in China.
Network Economies ■■□	Invisalign-trained doctor base + iTero/exocad workflow create two-sided pull (more doctors → more patients), but not a hard network effect.
Counter-Positioning ■□□	Was the disruptor of wires/brackets; now the incumbent being counter-positioned by lower-cost Angelalign and at-home/DIY models.
Switching Costs ■■□	Doctors invested in iTero hardware + Invisalign training face friction switching systems; patient-side switching is low (a single discretionary purchase).
Branding ◂ thesis leans here ■■■	The dominant Power: Invisalign is the category-defining consumer brand with pricing power and direct-to-consumer demand pull - but eroding at the ASP line under competition.
Cornered Resource ■■■	iTero installed base (>125,000), accumulated scan-data, and a deep patent estate (the basis of the Angelalign suits/ITC action) - durable, the hardest piece to replicate.
Process Power ■■□	Mass-customization manufacturing + the digital treatment-planning stack; a real learning curve, modest as a standalone Power.

PEER SET

Angelalign — 30% gr · 25% mgn · HK-listed
Fast-growing Chinese clear-aligner challenger; competes on price, taking China share - the live patent/ITC threat.

Dentsply Sirona — 0% gr · 10% mgn · ~12x EV/EBITDA
Diversified dental incumbent (incl. SureSmile aligners + imaging); the legacy-dental comp.

Straumann / ClearCorrect — 10% gr · 25% mgn · ~30x P/E
Premium dental/implant group with a growing aligner line; the high-end aligner challenger.

At-home / DIY (SmileDirect legacy) — · private
Direct-to-consumer aligners at the low end; SmileDirect went bankrupt, but the price-competitive segment persists.

THREAT VECTORS · FALSIFIERS

Branding · Angelalign + at-home/DIY (price competition)
falsifier: ASPs fall faster than the guided -1 to -2% as the brand premium erodes against lower-cost aligners.

Cornered Resource · Angelalign (patents / ITC)
falsifier: The patent suits + ITC import-block action fail, letting competitors replicate the technology and scan-data edge.

Scale Economies · Discretionary-demand softness + China bulk-procurement
falsifier: Case volume flat-lines or declines and a low-cost mix de-levers the ~70% gross margin below ~13% operating margin.

COMPETITIVE READ

Align's brand Power is genuine - Invisalign is the category-defining clear-aligner name with pricing power and consumer demand pull, reinforced by the iTero installed base and patent estate as a cornered resource - but the franchise is decelerating: revenue is flat (+1%), op margin has slid four straight years to 13.5%, and ASPs are guided down under Angelalign + at-home price competition. The Audit: branding is durable (medium) but eroding at the price line; the cornered resource (iTero/scan-data/patents) is the real defense, and the live threats are commoditization + a discretionary-demand market. The ~79% de-rate from the 2021 peak corrected the prior excess and overshot to below fair; the DCF tests whether category penetration + the teen/IPE TAM outrun ASP/share erosion, and the modal case lands +20% - de-rated, and priced below value.

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Align Technology show your work

Bear $129.43 Base $176.81 Bull $236.91 · Weighted $172.27 (+13.8%)

ULTRA BEAR $91.97

ASSUMPTIONS

5y revenue CAGR (%)	+1.4
Year-5 op margin (%)	12.0
WACC (%)	10.0
Terminal growth (%)	2.0
Terminal FCF ($B)	$0.48B
Starting revenue ($B)	4.04
Scenario probability (%)	14

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.04	+11%	+0.40	+0.37
FY27	4.08	+11%	+0.41	+0.34
FY28	4.16	+12%	+0.46	+0.34
FY29	4.24	+12%	+0.47	+0.32
FY30	4.32	+12%	+0.48	+0.30

Σ PV explicit FCF	+1.66
+ PV terminal (g 2.0%)	3.77

EQUITY BUILD · $B & PER SHARE

Operating EV	$5.43B
+ Cash & investments	$1.10B
= Equity value	$6.53B
FY30 shares (M)	71
= Expected per share	**$91.97**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$148.12	$238.55	$384.18	$618.73
0.98×	1.58×	2.54×	4.09×

BEAR $129.43

ASSUMPTIONS

5y revenue CAGR (%)	+3.8
Year-5 op margin (%)	15.0
WACC (%)	9.5
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.63B
Starting revenue ($B)	4.04
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.16	+13%	+0.46	+0.42
FY27	4.32	+14%	+0.52	+0.43
FY28	4.50	+14%	+0.54	+0.41
FY29	4.67	+15%	+0.61	+0.42
FY30	4.86	+15%	+0.63	+0.40

Σ PV explicit FCF	+2.08
+ PV terminal (g 2.5%)	5.88

EQUITY BUILD · $B & PER SHARE

Operating EV	$7.96B
+ Cash & investments	$1.10B
= Equity value	$9.06B
FY30 shares (M)	70
= Expected per share	**$129.43**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$203.75	$320.76	$504.95	$794.91
1.35×	2.12×	3.34×	5.25×

BASE $176.81

ASSUMPTIONS

5y revenue CAGR (%)	+6.6
Year-5 op margin (%)	18.0
WACC (%)	9.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$0.83B
Starting revenue ($B)	4.04
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.28	+14%	+0.51	+0.47
FY27	4.58	+15%	+0.59	+0.50
FY28	4.90	+16%	+0.69	+0.53
FY29	5.24	+17%	+0.73	+0.52
FY30	5.55	+18%	+0.83	+0.54

Σ PV explicit FCF	+2.56
+ PV terminal (g 2.5%)	8.54

EQUITY BUILD · $B & PER SHARE

Operating EV	$11.10B
+ Cash & investments	$1.10B
= Equity value	$12.20B
FY30 shares (M)	69
= Expected per share	**$176.81**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$272.04	$418.57	$644.03	$990.92
1.80×	2.77×	4.25×	6.55×

BULL $236.91

ASSUMPTIONS

5y revenue CAGR (%)	+8.4
Year-5 op margin (%)	20.0
WACC (%)	8.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$0.97B
Starting revenue ($B)	4.04
Scenario probability (%)	17

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.36	+16%	+0.57	+0.52
FY27	4.75	+17%	+0.67	+0.56
FY28	5.18	+18%	+0.78	+0.61
FY29	5.59	+19%	+0.90	+0.65
FY30	6.04	+20%	+0.97	+0.64

Σ PV explicit FCF	+2.98
+ PV terminal (g 3.0%)	12.03

EQUITY BUILD · $B & PER SHARE

Operating EV	$15.01B
+ Cash & investments	$1.10B
= Equity value	$16.11B
FY30 shares (M)	68
= Expected per share	**$236.91**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$356.23	$535.65	$805.43	$1,211.09
2.35×	3.54×	5.32×	8.00×

ULTRA BULL $300.75

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	22.0
WACC (%)	8.2
Terminal growth (%)	3.0
Terminal FCF ($B)	$1.17B
Starting revenue ($B)	4.04
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	4.44	+17%	+0.62	+0.57
FY27	4.93	+18%	+0.74	+0.63
FY28	5.42	+20%	+0.87	+0.68
FY29	5.96	+21%	+1.01	+0.74
FY30	6.50	+22%	+1.17	+0.79

Σ PV explicit FCF	+3.42
+ PV terminal (g 3.0%)	15.63

EQUITY BUILD · $B & PER SHARE

Operating EV	$19.05B
+ Cash & investments	$1.10B
= Equity value	$20.15B
FY30 shares (M)	67
= Expected per share	**$300.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$446.01	$661.42	$980.88	$1,454.62
2.95×	4.37×	6.48×	9.61×

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Align Technology People · Opportunity · Context · Deal

Bear $129.43 Base $176.81 Bull $236.91

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Joseph M. Hogan

11 yrs in seat

1.9%
insider ownership

LOW
key-person risk

Capital allocation (realized)
Joe Hogan (ex-GE/ABB) has been CEO since 2015 — a professional manager; the founders are long gone. The balance sheet is debt-free (~$1.0B net cash) and FCF-positive (FY2025 revenue $4.0B, GAAP net income $410M). Capital return is buyback-only (a $1B program, ~$800M remaining), no dividend, with a FY2025 restructuring to lift margins.

Incentive alignment
CEO pay is ~91% at-risk/performance-based. The standout alignment signal is positive: Hogan is a net open-market BUYER — he has bought ~$8M of stock since 2021 with no sales — uncommon among large-cap CEOs. Say-on-pay drew ~89% support (a notable ~11% dissent on large equity grants). Activist Elliott built a stake (March 2026), no board seats yet.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder
- Chair and CEO are SEPARATE, with an independent Chair (transitioning to Kevin Conroy mid-2026)
- ~90% independent board (9-10 of 10-11); declassified annual elections; all committees independent
- notable say-on-pay dissent (~11%) tied to CEO equity-grant size — a compensation watch-item
- an activist (Elliott) is building a stake — external pressure, outcome unresolved

THE FOUR LEGS



People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value + position sizing.
+13.8% vs spot $151.37

> **PEOPLE READ**
> Clean structure plus a rare positive: single-class one-vote, a separate independent Chair, a ~90% independent declassified board, a debt-free balance sheet — and a CEO who buys his own stock in the open market (no sales since 2021). The watch-items are a ~11% say-on-pay dissent on pay size and a fresh Elliott activist stake, neither structural. Key-person risk is low — a professional, no-control CEO with a deep bench.

Align Technology supporting analysis · disclaimers · glossary

Bear $129.43 Base $176.81 Bull $236.91

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The de-rate corrected an excess; the bargain needs growth.**
Down ~79% from the 2021 peak, at ~21x FCF the modal DCF is +20% - but only if growth resumes; growth, not the multiple, is the constraint.

2 **The category is still only ~15-20% penetrated.**
Clear aligners are early in displacing wires/brackets; teen/IPE opens the larger teen ortho TAM the flat top line masks.

3 **Brand + installed base are the moat.**
Invisalign is category-defining; iTero (>125,000 scanners) + scan-data + the patent estate are hardest for Angelalign to replicate.

4 **ASP/share erosion is the whole question.**
ASPs guided -1 to -2%, Angelalign taking China share + litigating patents, at-home at the low end - 'category grows' vs 'Align grows' is the fork.

5 **Net cash; no solvency risk.**
$1.10B cash, no debt, ~$200M buyback - no solvency risk; the downside is growth/multiple, not survival.

FALSIFICATION TRIGGERS

Bull validation

Invisalign case volume re-accelerates above ~+7% · teen/IPE case-starts scale materially · ASPs stabilize (not down) · operating margin recovers back toward ~20%

Bear validation

case volume flat-lines or declines for 2+ quarters · ASPs fall faster than the guided -1 to -2% · Angelalign/at-home take visible share · op margin grinds below ~13%

Reframe needed

if clear aligners commoditize (Angelalign wins on price + the ITC/patent actions fail), the branding + cornered-resource Powers erode - re-rate the terminal toward a low-growth, price-taking dental-device multiple

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Forward-looking statements.

Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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Do your own research.

Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Clear Aligner — Align's largest segment (~82-85% of revenue) - Invisalign removable aligners that displace traditional wires/brackets; case volume x ASP is the swing factor.

IPE (Invisalign Palatal Expander) — US-FDA-cleared device targeting teen/kids case-starts (the majority of global ortho) - the TAM-expansion lever in the bull.

iTero / Systems & Services — Intraoral scanners (iTero Lumina, installed base >125,000) + software/services - the cornered-resource base that feeds Invisalign workflow and scan-data.

FCF margin — Free cash flow / revenue (~12-13% FY25); the mature-DCF lever - whether category growth converts the ~70% gross margin to free cash flow as ASP pressure bites.

ASP — Average selling price per case; guided -1 to -2% in FY26 on country/product mix and competition - the price half of the volume-vs-price question.